COURSE · INTERNATIONAL ECONOMICS

Theoretical Framework of International Economic Relations

International Economics

Why do countries trade?

PRESENTED BY

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AGENDA

Plan

01	Introduction to international economic relations	Norhane
02	Classical theories of international trade	Norhane
03	Modern theories of international trade	Wassim
04	Limitations and contemporary relevance	Wassim
05	Conclusion	Wassim

01 · INTRODUCTION

Few products are made entirely in one country.

Designed
California

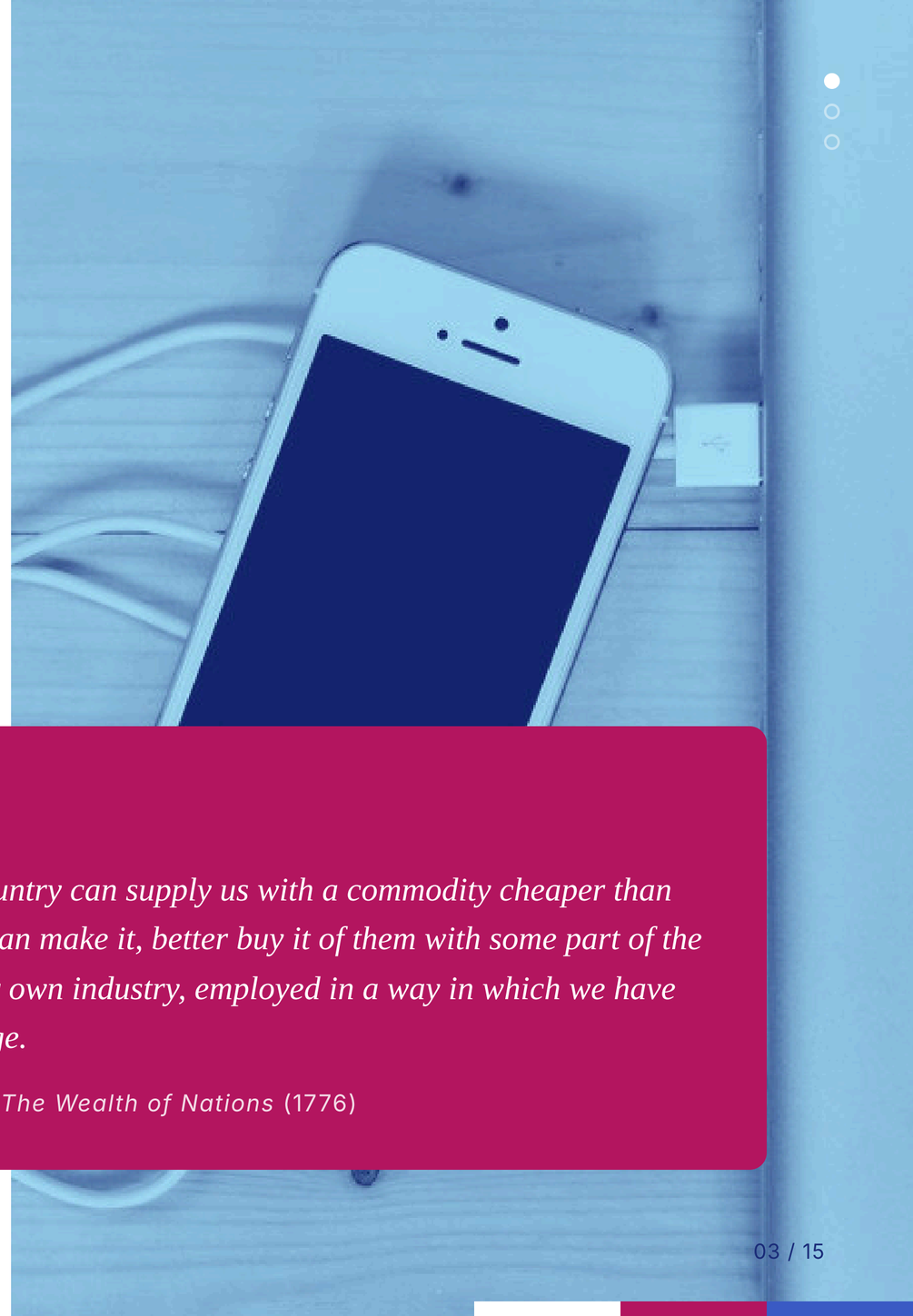
Assembled
China

Chip made
Taiwan

Raw materials
Several continents

The same interdependence applies to **Algeria**, which exports hydrocarbons and imports wheat, vehicles and machinery.

Why do countries trade with each other?



> *If a foreign country can supply us with a commodity cheaper than we ourselves can make it, better buy it of them with some part of the produce of our own industry, employed in a way in which we have some advantage.*
>
> — Adam Smith, *The Wealth of Nations* (1776)

01 · INTRODUCTION

Definition and main forms

International economic relations are all the economic exchanges between countries: movements of goods, services, capital, labor and technology across borders. They shape growth, employment, prices and the development level of every economy.



THREE MAIN FORMS

International trade

The exchange of goods and services between countries.

e.g., Algeria's gas exports to Europe

International investment

Capital invested abroad, especially **FDI**: a firm acquires or builds productive assets in another country.

e.g., a foreign carmaker opening a factory

International financial flows

Movements of money between countries.

Loans, migrants' remittances, portfolio investment, currency exchange



PROBLÉMATIQUE

How do economic theories explain why countries trade, and what are their limits?

To answer it, we follow the evolution of trade theories:

01
Classical theories
first

02
Modern theories
then

03
Their limits today
in today's global economy



EUROPE

16th – 18th century

02 · CLASSICAL THEORIES

Mercantilism

The dominant economic doctrine in Europe from the 16th to the 18th century. A nation's wealth is measured by its **stock of precious metals** (gold and silver), and the state must actively manage trade to accumulate them.

Zero-sum game | What one country gains, another necessarily loses.

MAIN PRINCIPLES

- Export as much as possible, import as little as possible, to build a trade surplus
- Strong state intervention in the economy
- Protection of domestic industries
- Colonies as sources of raw materials and markets

TOOLS USED

Tariffs · Import bans · Export subsidies · Trade monopolies

LIMIT

It confuses money with real wealth. A country can hold a lot of gold and still produce little.

02 · CLASSICAL THEORIES

Adam Smith and absolute advantage



Adam Smith
The Wealth of Nations · 1776

Smith criticizes mercantilism: a nation's wealth lies in its **production capacity** (labor, productivity), not in its stock of gold. Free trade and the division of labor increase this wealth.

DEFINITION

A country has an **absolute advantage** in a good when it can produce it using **fewer resources** (less labor) than another country.

1
Specialize in the goods it produces most efficiently

2
Import the goods others produce more efficiently

3
Trade is a **positive-sum game**: all countries can gain

⚠ **Limit:** the theory does not explain trade for a country that has no absolute advantage in any good.

02 · CLASSICAL THEORIES

David Ricardo and comparative advantage



David Ricardo

Principles of Political Economy and Taxation · 1817

Trade can benefit both countries **even if one is more efficient in everything**.

DEFINITION

A country has a **comparative advantage** in a good when its **opportunity cost** of producing it (the quantity of another good it must give up) is lower than in the other country.

CLASSIC EXAMPLE · HOURS OF LABOR NEEDED TO PRODUCE ONE UNIT

	CLOTH	WINE
England	**100**	**120**
Portugal	**90**	**80**

England · cost of 1 cloth

0.83 wine

100 / 120

Portugal · cost of 1 cloth

1.125 wine

90 / 80

- Portugal has an absolute advantage in both goods.
- England gives up less wine to produce cloth: **England → cloth**, **Portugal → wine**.

02 · CLASSICAL THEORIES

Ricardo: the gains from trade

BEFORE TRADE

Each country produces one unit of each good

England
1 cloth + 1 wine
220 h

Portugal
1 cloth + 1 wine
170 h

World: **2 cloth · 2 wine**

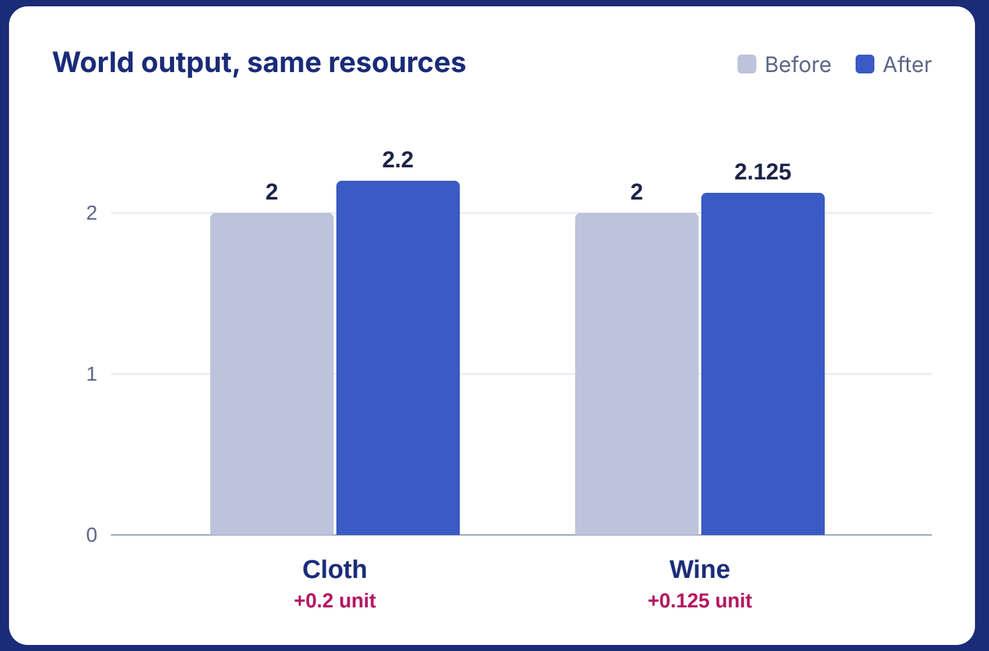
AFTER SPECIALIZATION

Same total hours

England
220 h → cloth
2.2 cloth

Portugal
170 h → wine
2.125 wine

World: **2.2 cloth · 2.125 wine**



With the same resources, world production increases: through trade, both countries can consume more than before.

ASSUMPTIONS & LIMITS

- Only one factor: labor
- No transport costs
- Perfect competition & full employment
- Identical goods, no economies of scale

03 · MODERN THEORIES

Heckscher-Ohlin theory

Eli Heckscher · 1919

Bertil Ohlin · 1933

Unlike Ricardo (differences in technology), it explains trade by differences in **factor endowments**: the relative quantity of production factors a country possesses (labor, capital and land).

PRINCIPLE

A country **exports** the goods that use intensively its **abundant** factor, and **imports** the goods that require its **scarce** factor.

Labor-abundant · e.g., Bangladesh
exports labor-intensive goods: textiles

Capital-abundant · e.g., Germany
exports capital-intensive goods: machinery

CRITICISM · THE LEONTIEF PARADOX (1953)

Leontief tested the theory on the United States, the most capital-abundant country: its exports were **more labor-intensive** than its imports. This pushed economists to look for other explanations.



PART II

Wassim Sid

03 · MODERN THEORIES

New Trade Theory

Paul Krugman · late 1970s – early 1980s

Nobel Prize 2008

It responds to a fact earlier theories could not explain: **most trade takes place between similar countries, in similar goods.**



INTRA-INDUSTRY TRADE

France and Germany both export *and* import cars.

Economies of scale

The more a firm produces, the lower its average cost per unit. Production concentrates in a few places and serves the world market.

Imperfect competition

Markets are dominated by a few large firms, not by many small identical ones.

Product variety

Consumers value choice, so countries exchange differentiated versions of the same product (intra-industry trade).

POLICY IMPLICATION Because of scale effects and first-mover advantages, state support for strategic industries can sometimes be justified.

04 · LIMITATIONS

Inequalities between countries

The theories conclude that trade benefits everyone, but in practice the gains are unequally shared.

01 Many developing countries depend on exporting **raw materials with volatile prices** (e.g., Algeria and hydrocarbons), while developed countries export higher-value manufactured goods.

02 This creates **dependence and vulnerability** to external shocks such as price drops.

03 Within countries, trade creates **winners and losers**: consumers and exporters gain, workers in industries exposed to import competition may lose their jobs.

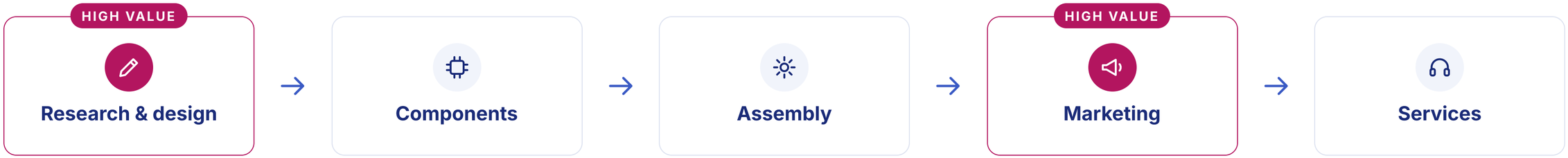
04 These observations feed the debate between **free trade and protectionism**, and critical approaches such as dependency theory.



04 · CONTEMPORARY RELEVANCE

Global value chains and multinational corporations

A **global value chain (GVC)** is the splitting of the production process of a good across several countries, each specializing in a stage.



CONSEQUENCE

Countries no longer trade only finished goods, they trade tasks.

MULTINATIONAL CORPORATIONS

Firms that operate in several countries. They organize these chains and move **capital, technology and know-how** through FDI.

ADVANTAGES

- Lower production costs
- Technology transfer and job creation in host countries

RISKS

- Dependence on a few suppliers or regions
- Disruptions (e.g., supply chain crisis of 2020-2021)
- Unequal value: design and branding stay mostly in developed countries

Traditional theories, built for trade in finished goods between nations, only partly explain this reality.



05 · CONCLUSION

Theories of international trade evolved alongside reality

16th–18th c.

Mercantilism

Trade as a zero-sum game, wealth measured in gold

1776 · 1817

Smith & Ricardo

Specialization and comparative advantage, with gains for all

1919 · 1933

Heckscher-Ohlin

Trade explained by factor endowments

Late 1970s

Krugman

Economies of scale, imperfect competition and variety

Each theory corrects the limits of the previous one, yet **none explains everything**. Today, with global value chains, persistent inequalities and a mix of open trade and protectionist measures, the debate remains open.

ANSWER TO THE PROBLÉMATIQUE

Theories explain why countries trade, but they must be combined with the realities of the global economy to understand it fully.

Thank you

Questions?

Norhane Benazala · Wassim Sid

Theoretical Framework of International Economic Relations

